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State Of A.P And Another v. T. Suryachandra Rao .

Supreme Court Of India (Jul 25, 2005)

CASE NO.

Civil Appeal No. 4461 of 2005, decided on July 25, 2005

DISPOSITION

ALLOWED

JUDGES

- Dr. Justice Arijit Pasayat
- Justice C.K. Thakker

ATTORNEY

- Debojit Borkakati, Manoj Saxena, Amit Meharia and Mohanprasad Meharia, Advocates, for the Appellants;
- M. Srinivas R. Rao, Srinivas Kotni and John Mathew, Advocates, for the Respondent.

SUMMARY**Factual and Procedural Background**

The respondent filed a declaration under the Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973 (“the Act”) for determination of his ceiling limit. On 16-11-1978 the Land Reforms Appellate Tribunal, East Godavari, Kakinada, held that 0.4388 standard hectares of the respondent’s land was surplus. The respondent surrendered certain lands and, by order dated 8-5-1991, the Additional Revenue Divisional Officer (Land Reforms), Kakinada accepted the surrender.

Subsequently it was discovered that the surrendered land had already been acquired by the State under the Land Acquisition Act, 1894. A notice dated 8-2-1995 proposed identification of alternative surplus land. The Land Reforms Tribunal modified the earlier order accordingly, and the Appellate Tribunal affirmed that decision. The respondent’s

revision under Section 21 of the Act succeeded before a learned Single Judge of the Andhra Pradesh High Court, who held that the Tribunal could not reopen the matter after accepting the surrender.

The State of Andhra Pradesh and the Mandal Revenue Officer appealed to the Supreme Court.

Legal Issues Presented

1. Whether the Land Reforms Tribunal possessed power to reopen and vary an earlier order accepting surrendered land when it is later discovered that the land had already vested in the State under land-acquisition proceedings.
2. Whether offering for surrender land that was no longer owned by the declarant amounted to *fraud* , thereby vitiating the earlier proceedings and justifying reopening.

Arguments of the Parties

Appellants (State of Andhra Pradesh and Mandal Revenue Officer)

- The High Court erred; the respondent fraudulently offered land that had already been acquired by the State and could not be surrendered.
- *Fraud* vitiates all judicial acts; therefore the Tribunal was entitled to correct its earlier order.

Respondent

- Once the Tribunal, after enquiry, accepted the surrender, it lacked authority to revisit or vary that order.
- Any earlier acquisition of the land was irrelevant after acceptance of surrender.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Dr Vimla v. Delhi Administration, 1963 Supp (2) SCR 585	Definition of “ <i>fraud</i> ” as involving deceit and resulting injury.	Quoted to emphasise that deceit coupled with injury constitutes <i>fraud</i> .
Indian Bank v. Satyam Fibres (India) Pvt. Ltd., (1996) 5 SCC 550	<i>Fraud</i> vitiates every solemn act.	Cited to justify revisiting the earlier surrender order obtained through <i>fraud</i> .
S.P. Chengalvaraya Naidu v. Jagannath, (1994) 1 SCC 1	Cheating to gain advantage constitutes <i>fraud</i> ; suppression of material facts is fraudulent.	Relied on to characterise the respondent’s conduct as fraudulent.

Indian cases culminating in Ram Chandra Singh v. Savitri Devi, (2003) 8 SCC 319	<i>Fraud</i> and collusion vitiate judicial proceedings; <i>fraud</i> anathema to equity.	Used to support the proposition that a tribunal can annul orders infected by <i>fraud</i> .
Derry v. Peek, (1889) 14 AC 337 (HL)	Classic test: <i>fraud</i> proven when false representation made knowingly, without belief in its truth, or recklessly.	Adopted as the conceptual standard for assessing the respondent's misrepresentation.
Khawaja v. Secretary of State for Home Department, (1983) 1 All ER 765	Caution against applying private-law <i>fraud</i> concepts wholesale in public-law/statutory contexts.	Mentioned while distinguishing <i>fraud</i> in administrative law; nevertheless, <i>fraud</i> found here.
Shrisht Dhawan v. Shaw Brothers, (1992) 1 SCC 534	<i>Fraud</i> on statute arises from abuse of power or colourable transactions defeating statutory provisions.	Cited to show that surrender of non-existent land was a colourable device defeating the Act.
Roshan Deen v. Preeti Lal, (2002) 1 SCC 100	Further elaboration on the concept and effect of <i>fraud</i> .	Referenced in the Court's general discussion on <i>fraud</i> .
Ram Preeti Yadav v. U.P. Board of High School, (2003) 8 SCC 311	Negligence can evidence <i>fraud</i> ; fraudulent misrepresentation vitiates proceedings.	Drawn upon to show that even negligent misstatements affecting statutory jurisdiction can be reopened.
Ashok Leyland Ltd. v. State of T.N., (2004) 3 SCC 1	Reiterates principles that <i>fraud</i> unravels judicial acts.	Invoked to strengthen the conclusion that earlier orders could be set aside.
Gowrishankar v. Joshi Amba Shankar Family Trust, (1996) 3 SCC 310	Suppression of material documents amounts to <i>fraud</i> on the Court.	Used to characterise the respondent's failure to disclose prior acquisition.
Lazarus Estates Ltd. v. Beasley, (1956) 1 QB 702	" <i>Fraud</i> unravels everything."	Quoted to underline the legal necessity of invalidating orders obtained by <i>fraud</i> .

Court's Reasoning and Analysis

The Supreme Court held that the respondent's act of offering land that had already vested in the State was a clear instance of *fraud*. *Fraud* vitiates all judicial and administrative acts; therefore, despite an earlier enquiry accepting the surrender, the Tribunal retained authority to correct its mistake once the *fraud* came to light. The Court emphasised:

- *Fraud* comprises deceit and resulting injury; it invalidates even the most solemn proceedings.
- Under the Act, the Tribunal may reopen proceedings where error is apparent; *fraud* is a compelling ground for such reopening.
- The High Court erred in treating the prior enquiry as conclusive when the foundation (ownership of the land) was non-existent.

Applying these principles, the Court concluded that the Tribunal and the Appellate Tribunal acted within their jurisdiction in substituting alternative surplus land for the land wrongly surrendered.

Holding and Implications

Appeal Allowed; High Court judgment set aside.

Consequently, the order of the Land Reforms Tribunal, as affirmed by the Appellate Tribunal, stands restored. The respondent must surrender alternative land equal to the originally determined surplus. No costs were awarded. The decision reinforces the principle that any order obtained through *fraud* is void and can be corrected by the adjudicatory body, but it does not establish a new substantive precedent beyond reaffirming settled law on *fraud*.

JUDGMENT

Arijit Pasayat, J.— Leave granted.

2. The State of Andhra Pradesh and the Mandal Revenue Officer (in short “the Revenue Officer”) Peddapuram, East Godavari call in question legality of the judgment rendered by a learned Single Judge of the Andhra Pradesh High Court. By the impugned order the High Court held that the Land Reforms Appellate Tribunal, East Godavari, Kakinada (in short “the Appellate Tribunal”) and the Land Reforms Tribunal, Kakinada (in short “the Tribunal”) were not justified in holding that the respondent had fraudulently taken advantage by suppression of facts; thereby taking benefit under the **Andhra Pradesh Land Reforms (Ceiling on Agricultural Holdings) Act, 1973**, (in short “the Act”).

3. Basic features of the case which need to be noted are as under:

The respondent as declarant submitted a declaration as regards determination of his ceiling limit of land under the Act. The Appellate Tribunal passed an order dated 16-11-1978 determining the ceiling limit of the declarant to be surplus and declared 0.4388 S.H land to be in excess of the ceiling limit on the notified date. Thereafter, certain lands were

surrendered and surrender was accepted by order dated 8-5-1991 by the Additional Revenue Divisional Officer, Land Reforms, Kakinada. Subsequently, it was noticed that the land which was surrendered had already been acquired in proceedings under the **Land Acquisition Act, 1898** (in short “the LA Act”). Therefore, a notice was issued on 8-2-1995 proposing to consider declaration of alternative lands as surplus in lieu of the lands which were earlier surrendered. The Tribunal passed order in this regard after verifying the records of the land acquisition proceedings. An appeal was carried to the Appellate Tribunal and the same was dismissed. A revision was carried under Section 21 of the Act before the High Court, which by the impugned order held that it was for the Tribunal to have considered the correctness of the declaration made by the declarant. After having accepted the land to be surrendered, it was not open to the Tribunal to vary the order. It was held that even though power was available to the Tribunal to reopen the matter and pass necessary orders when *fraud* was practised, in the instant case the Tribunal having accepted the matter after enquiry, it was not open to take a different view.

4. Though the High Court accepted on principle that the Tribunal has ample power to reopen the matter when the error is apparent on the face of record, it held that once the enquiry had been conducted, question of reopening the matter did not arise. It was held that under Section 10(3) of the Act the Tribunal has to make an enquiry after the statement relating to surrender is filed. Merely because in the statement it was indicated that some land was proposed to be surrendered there was no scope for reopening the matter even though the land was not available to be surrendered.

5. Learned counsel for the appellants submitted that the approach of the High Court is clearly erroneous. There is no dispute that the land which was offered for surrender had already been acquired under the LA Act and there was no scope for the respondent to again offer the said land. This was a clearly fraudulent act and, therefore, the High Court was not justified in its view.

6. In response, learned counsel appearing for the respondent submitted that having accepted the land offered for surrender after enquiry, it was not open to the Tribunal to take note of any acquisition earlier.

7. The order of the High Court is clearly erroneous. There is no dispute that the land which was offered for surrender by the respondent had already been acquired by the State and the same had vested in it. This was clearly a case of *fraud*. Merely because an enquiry was made, the Tribunal was not divested of the power to correct the error when the respondent had clearly committed a *fraud*.

8. By “*fraud*” is meant an intention to deceive; whether it is from any expectation of advantage to the party himself or from ill-will towards the other is immaterial. The expression “*fraud*” involves two elements, deceit and injury to the person deceived. Injury is something other than economic loss, that is, deprivation of property, whether movable or immovable, or of money, and it will include any harm whatever caused to any person in body, mind, reputation or such others. In short, it is a non-economic or non-pecuniary loss. A benefit or advantage to the deceiver, will almost always cause loss or detriment to the

deceived. Even in those rare cases where there is a benefit or advantage to the deceiver, but no corresponding loss to the deceived, the second condition is satisfied. [See [Vimla \(Dr.\) v. Delhi Admn.](#) 1963 Supp (2) SCR 585, (1963) 2 Cri LJ 434 and Indian Bank v. Satyam Fibres (India) (P) Ltd. [\(1996\) 5 SCC 550](#)]

9. A “*fraud*” is an act of deliberate deception with the design of securing something by taking unfair advantage of another. It is a deception in order to gain by another's loss. It is a cheating intended to get an advantage. (See S.P Chengalvaraya Naidu v. Jagannath [\(1994\) 1 SCC 1.](#))

10. “*Fraud*” as is well known vitiates every solemn act. *Fraud* and justice never dwell together. *Fraud* is a conduct either by letter or words, which includes the other person or authority to take a definite determinative stand as a response to the conduct of the former either by words or letter. It is also well settled that misrepresentation itself amounts to *fraud*. Indeed, innocent misrepresentation may also give reason to claim relief against *fraud*. A fraudulent misrepresentation is called deceit and consists in leading a man into damage by wilfully or recklessly causing him to believe and act on falsehood. It is a *fraud* in law if a party makes representations, which he knows to be false, and injury enures therefrom although the motive from which the representations proceeded may not have been bad. An act of *fraud* on court is always viewed seriously. A collusion or conspiracy with a view to deprive the rights of others in relation to a property would render the transaction void ab initio. *Fraud* and deception are synonymous. Although in a given case a deception may not amount to *fraud*, *fraud* is anathema to all equitable principles and any affair tainted with *fraud* cannot be perpetuated or saved by the application of any equitable doctrine including res judicata. (See Ram Chandra Singh v. Savitri Devi [\(2003\) 8 SCC 319.](#))

11. “*Fraud*” and collusion vitiate even the most solemn proceedings in any civilised system of jurisprudence. It is a concept descriptive of human conduct. Michael Levi likens a fraudster to Milton's sorcerer, Comus, who exulted in his ability to, ‘wing me into the easy-hearted man and trap him into snares’. It has been defined as an act of trickery or deceit. In Webster's Third New International Dictionary “*fraud*” in equity has been defined as an act or omission to act or concealment by which one person obtains an advantage against conscience over another or which equity or public policy forbids as being prejudicial to another. In Black's Law Dictionary, “*fraud*” is defined as an intentional perversion of truth for the purpose of inducing another in reliance upon it to part with some valuable thing belonging to him or surrender a legal right. A false representation of a matter of fact, whether by words or by conduct, by false or misleading allegations, or by concealment of that which should have been disclosed, which deceives and is intended to deceive another so that he shall act upon it to his legal injury. In Concise Oxford Dictionary, it has been defined as criminal deception, use of false representation to gain unjust advantage; dishonest artifice or trick. According to Halsbury's Laws of England, a representation is deemed to have been false, and therefore a misrepresentation, if it was at the material date false in substance and in fact. **Section 17 of the Contract Act, 1872** defines “*fraud*” as an act committed by a party to a contract with the intent to

deceive another. From dictionary meaning or even otherwise *fraud* arises out of a deliberate active role of the representator about a fact, which he knows to be untrue yet he succeeds in misleading the representee by making him believe it to be true. The representation to become fraudulent must be of fact with the knowledge that it was false. In a leading English case i.e Derry v. Peek (1886-90) All ER Rep 1, (1889) 14 AC 337 (HL) what constitutes “*fraud*” was described thus: (All ER p. 22 B-C)

“[F]raud is proved when it is shown that a false representation has been made (i) knowingly, or (ii) without belief in its truth, or (iii) recklessly, careless whether it be true or false.”

But “*fraud*” in public law is not the same as “*fraud*” in private law. Nor can the ingredients, which establish “*fraud*” in commercial transaction, be of assistance in determining *fraud* in administrative law. It has been aptly observed by Lord Bridge in Khawaja v. Secy. of State for Home Deptt. (1983) 1 All ER 765, 1984 AC 74, (1982) 1 WLR 948 (HL) that it is dangerous to introduce maxims of common law as to effect of *fraud* while determining *fraud* in relation to statutory law. “*Fraud*” in relation to statute must be a colourable transaction to evade the provisions of a statute.

“‘If a statute has been passed for some one particular purpose, a court of law will not countenance any attempt which may be made to extend the operation of the Act to something else which is quite foreign to its object and beyond its scope.’ Present-day concept of *fraud* on statute has veered round abuse of power or mala fide exercise of power. It may arise due to overstepping the limits of power or defeating the provision of statute by adopting subterfuge or the power may be exercised for extraneous or irrelevant considerations. The colour of *fraud* in public law or administrative law, as it is developing, is assuming different shades. It arises from a deception committed by disclosure of incorrect facts knowingly and deliberately to invoke exercise of power and procure an order from an authority or tribunal. It must result in exercise of jurisdiction which otherwise would not have been exercised. That is misrepresentation must be in relation to the conditions provided in a section on existence or non-existence of which power can be exercised. But non-disclosure of a fact not required by a statute to be disclosed may not amount to *fraud*. Even in commercial transactions non-disclosure of every fact does not vitiate the agreement. ‘In a contract every person must look for himself and ensures that he acquires the information necessary to avoid bad bargain.’ In public law the duty is not to deceive.” (See Shrisht Dhawan v. Shaw Bros. [\(1992\) 1 SCC 534](#))

12. In that case it was observed as follows:

“20. *Fraud* and collusion vitiate even the most solemn proceedings in any civilised system of jurisprudence. It is a concept descriptive of human conduct. Michael Levi likens a fraudster to Milton's sorcerer, Comus, who exulted in his ability to, ‘wing me into the easy-

hearted man and trap him into snares'. It has been defined as an act of trickery or deceit. In Webster's Third New International Dictionary *fraud* in equity has been defined as an act or omission to act or concealment by which one person obtains an advantage against conscience over another or which equity or public policy forbids as being prejudicial to another. In Black's Law Dictionary, *fraud* is defined as an intentional perversion of truth for the purpose of inducing another in reliance upon it to part with some valuable thing belonging to him or surrender a legal right; a false representation of a matter of fact whether by words or by conduct, by false or misleading allegations, or by concealment of that which should have been disclosed, which deceives and is intended to deceive another so that he shall act upon it to his legal injury. In Concise Oxford Dictionary, it has been defined as criminal deception, use of false representation to gain unjust advantage; dishonest artifice or trick. According to Halsbury's Laws of England, a representation is deemed to have been false, and therefore a misrepresentation, if it was at the material date false in substance and in fact. **Section 17 of the Contract Act** defines *fraud* as act committed by a party to a contract with intent to deceive another. From dictionary meaning or even otherwise *fraud* arises out of deliberate active role of representator about a fact which he knows to be untrue yet he succeeds in misleading the representee by making him believe it to be true. The representation to become fraudulent must be of fact with knowledge that it was false. In a leading English case Derry v. Peek (1886-90) All ER Rep 1, (1889) 14 AC 337 (HL) what constitutes *fraud* was described thus: (All ER p. 22 B-C)

'[F]raud is proved when it is shown that a false representation has been made (i) knowingly, or (ii) without belief in its truth, or (iii) recklessly, careless whether it be true or false.' "

13. This aspect of the matter has been considered recently by this Court in Roshan Deen v. Preeti Lal ([\(2002\) 1 SCC 100](#)), Ram Preeti Yadav v. U.P Board of High School and Intermediate Education ([\(2003\) 8 SCC 311](#)), Ram Chandra Singh case ([\(2003\) 8 SCC 319](#)) and Ashok Leyland Ltd. v. State of T.N ([\(2004\) 3 SCC 1](#))

14. Suppression of a material document would also amount to a *fraud* on the court. (See Gowrishankar v. Joshi Amba Shankar Family Trust ([\(1996\) 3 SCC 310](#)) and S.P Chengalvaraya Naidu case ([\(1994\) 1 SCC 1](#)).

15. "*Fraud* " is a conduct either by letter or words, which induces the other person or authority to take a definite determinative stand as a response to the conduct of the former either by words or letter. Although negligence is not *fraud* but it can be evidence on *fraud* ; as observed in Ram Preeti Yadav case ([\(2003\) 8 SCC 311](#)).

16. In Lazarus Estates Ltd. v. Beasley (1956) 1 QB 702, (1956) 1 All ER 341, (1956) 2 WLR 502 (CA) Lord Denning observed at QB pp. 712 and 713: (All ER p. 345 C)

“No judgment of a court, no order of a minister, can be allowed to stand if it has been obtained by *fraud* . *Fraud* unravels everything.”

In the same judgment Lord Parker, L.J observed that *fraud* “vitiates all transactions known to the law of however high a degree of solemnity”.

17. Considering the aforesaid principles of law and the background facts, the Tribunal was justified in modifying the earlier order and varying it. The Appellate Tribunal did not commit any error in upholding it. The High Court's order is clearly unsustainable and is set aside.

18. The appeal is allowed with no orders as to costs.